# ARQUCON®

info@arqucon.com
deals@arqucon.com

ARQUCON

# THE ALBERT & VICTORIA PORTFOLIO

STRATEGIC URBAN REGENERATION AND COASTAL LUXURY

MANAGED BY
ARQUCON PTY LTD.

## THE CAPE TOWN ARBITRAGE

### THE "SEMIGRATION" TAILWIND:

**1%**

VACANCY RATES IN CORE NODES DRIVEN BY A MASSIVE INFLUX OF PROFESSIONALS TO THE WESTERN CAPE.

**10%**

ACCESSING 10% NET INITIAL YIELDS IN A MARKET WITH INSTITUTIONAL-GRADE INFRASTRUCTURE AND INDEPENDENT ENERGY SECURITY.

## ASSETS & STRATEGYS

THE "ALBERT" COMMERCIAL

### THE YIELD ANCHOR

| ASSET TYPE | FINANCIAL METRIC | STRATEGIC VALUE |
|---|---|---|
| SPECIALIZED HEALTH-INNOVATION & TECH CAMPUS | 10% NET INITIAL YIELD AT ACQUISITION | STABILIZED, LONG-TERM CASH FLOW THAT SERVICES PORTFOLIO DEBT AND PROVIDES A "FLOOR" FOR THE INVESTMENT |

THE "ALBERT" RESIDENTIAL

### THE GROWTH ENGINE

| ASSET TYPE | SCALE | THE STRATEGY |
|---|---|---|
| HIGH-DENSITY RESIDENTIAL BUILD-TO-RENT (BTR) | 11,815 M^2 OF RESIDENTIAL BULK | TARGETING THE UNDERSUPPLY OF EXECUTIVE HOUSING FOR THE ADJACENT TECH-SECTOR WORKFORCE AT A TARGETED 30% DEVELOPMENT IRR |

THE "VICTORIA" LUXURY

### THE LIQUIDITY EVENT

| ASSET TYPE | STRATEGY | VELOCITY |
|---|---|---|
| ULTRA-PRIME ATLANTIC SEABOARD RESIDENTIAL SUBDIVISION | CONVERTING HIGH-VALUE LAND INTO 6 EXCLUSIVE "STACKED VILLA" UNITS | PROJECTED YEAR 2.5 EXIT TO RETURN APPROXIMATELY 30% OF TOTAL INITIAL CAPITAL TO INVESTORS |

## ENHANCING RETURNS

### THE EFFICIENCY EDGE

ASSET-LIGHT JV STRUCTURE

**THE MECHANISM**

A STRATEGIC JOINT VENTURE WHERE THE LANDOWNER CONTRIBUTES THE R21M LAND VALUE AS EQUITY

**THE RESULT**

INVESTOR CAPITAL IS DEPLOYED DIRECTLY INTO VERTICAL CONSTRUCTION (VALUE-ADD), DRASTICALLY INCREASING THE RETURN ON EQUITY (ROE)

### THE TAX SHIELD

SECTION 13(6) OPTIMIZATION

**THE MECHANISM**

A 5% ANNUAL TAX DEDUCTION ON NEW RESIDENTIAL CONSTRUCTION FOR 20 YEARS

**THE IMPACT**

EFFECTIVELY ZEROING OUT CORPORATE TAX ON THE PORTFOLIO'S RENTAL INCOME FOR THE FIRST DECADE, ADDING ~300 BPS TO THE NET IRR

## GOVERNANCE & INSTITUTIONAL CONTROLS

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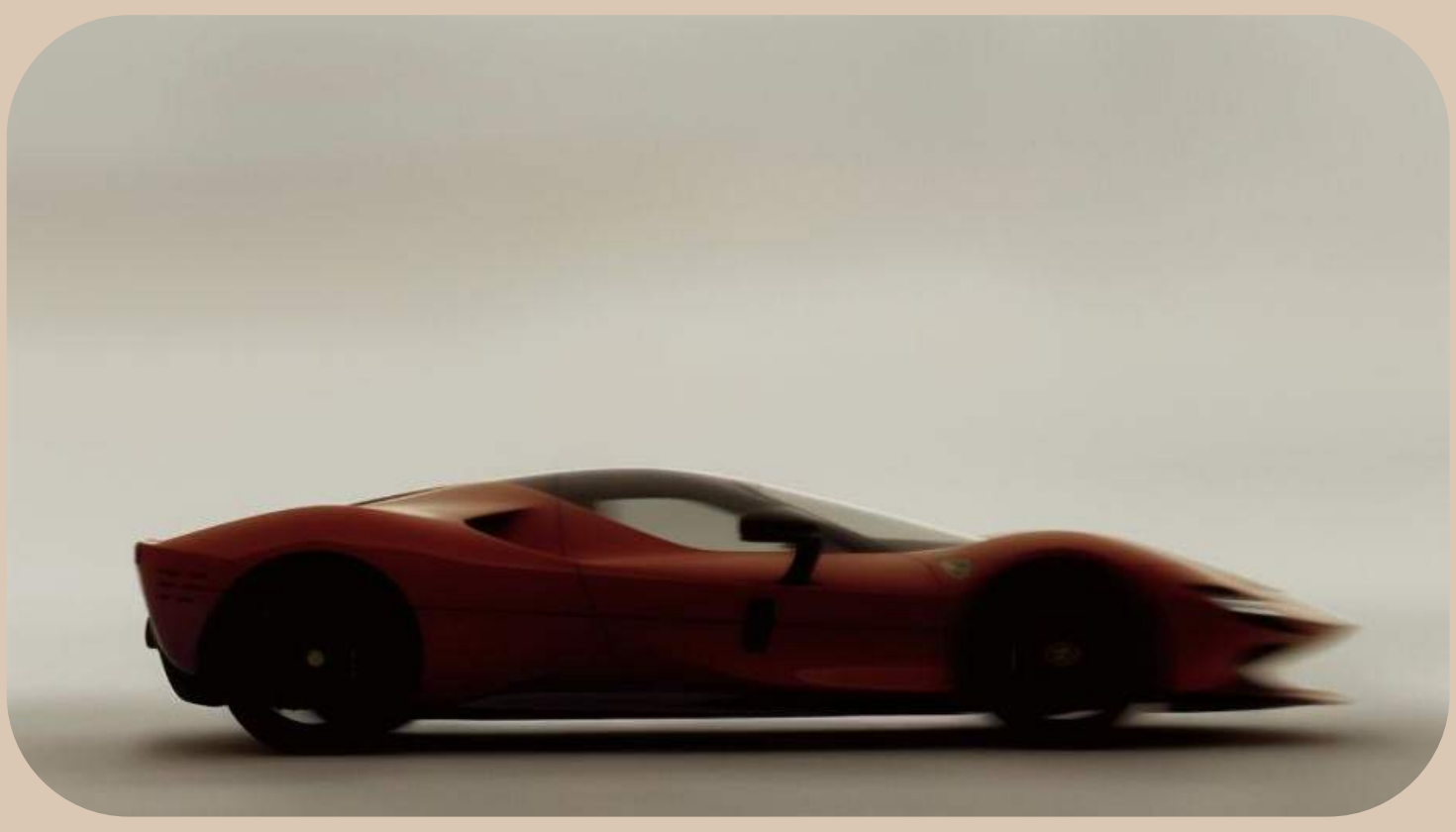
ARQUCON®

**Oversight**

ARQUCON PTY LTD PROVIDES DIRECT GP MANAGEMENT AND "OPEN-BOOK" PROCUREMENT PROTOCOLS

**Independent Audit**

ALL PLANNING AND CONSTRUCTION SPEND IS AUDITED BY INDEPENDENT QUANTITY SURVEYORS AND TOP-TIER TOWN PLANNERS



### TARGET RETURNS & WATERFALL

TARGET LEVERED IRR:
**25% – 28%** (USD)

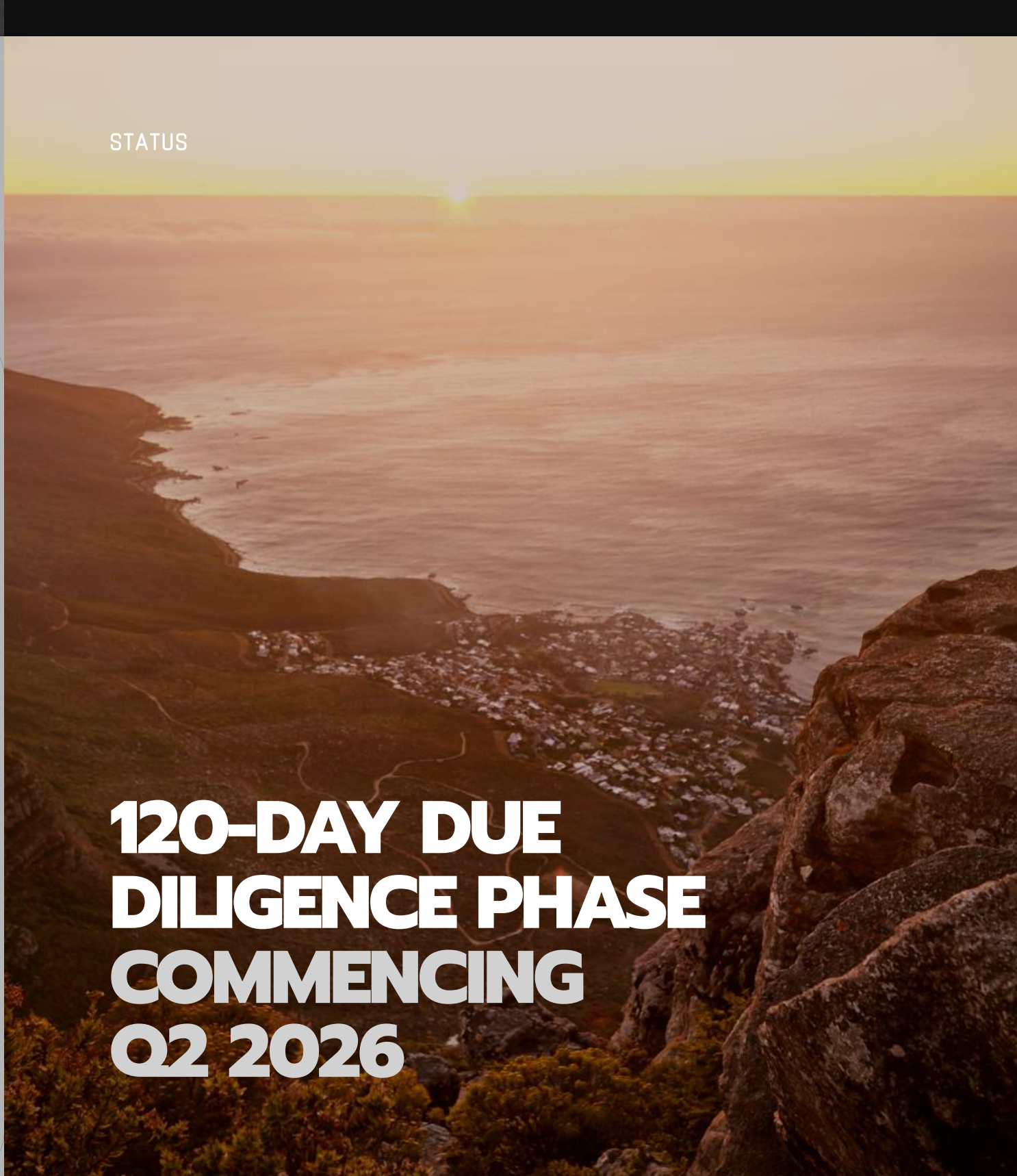
EQUITY MULTIPLE:
**3.2x over 10 years**

HURDLE:
**15% USD Preferred Return for Investors**

### TIMELINE & CAPITAL CALL

EQUITY REQUIREMENT
**$28.5M USD**

**70% OF THE CAPITAL STACK**



STATUS

**120-DAY DUE DILIGENCE PHASE COMMENCING Q2 2026**